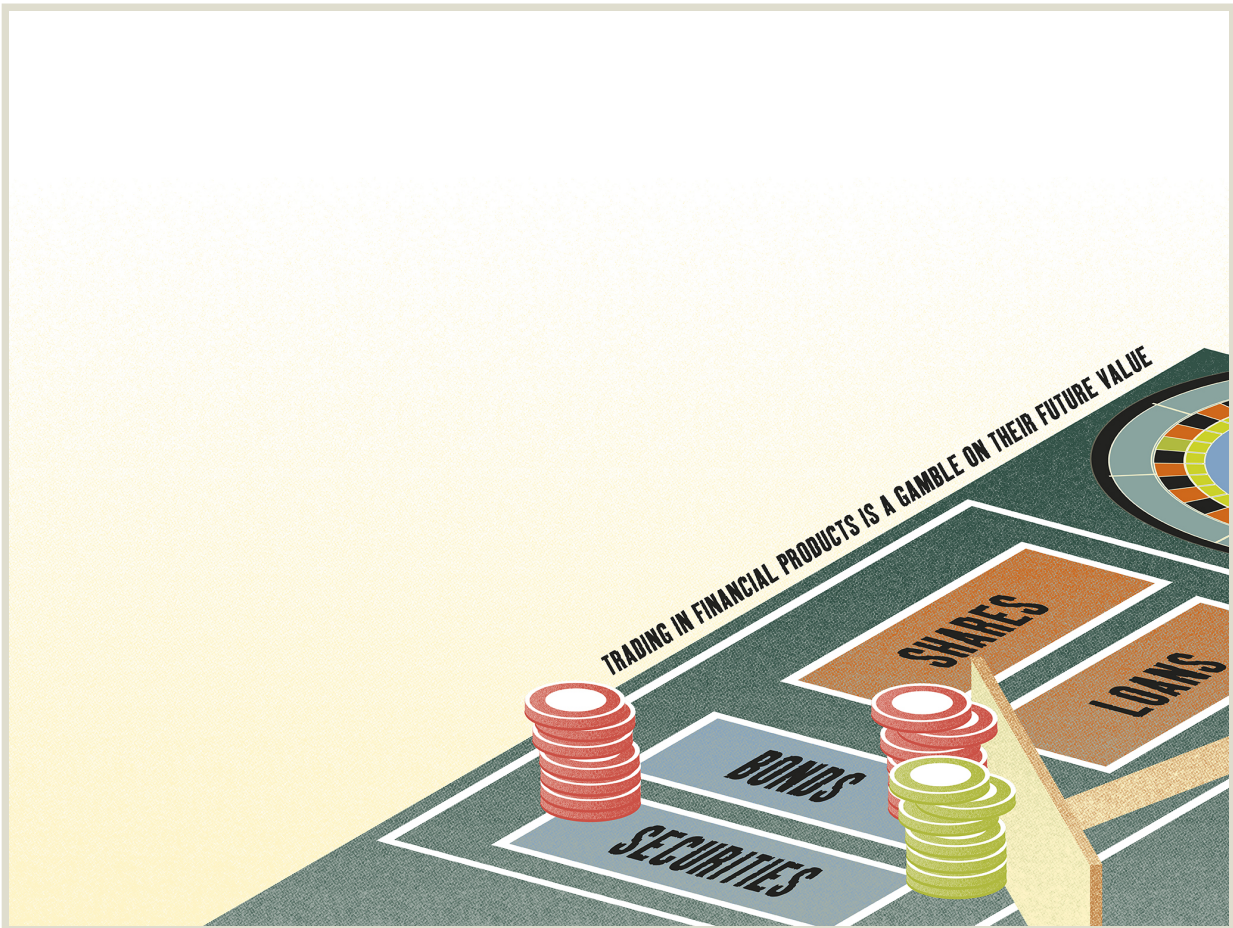




Spreading the bets

The high risk of some investments can be hidden if they are included in a package of safer options, such as government bonds.

Hidden danger

This “financial engineering” can appear almost risk-free, because unless a substantial number of debts aren’t repaid the gamble should pay off.

Unfortunately, the traders, who often don’t have the mathematical abilities of the analysts, tend to become overconfident and underestimate the risks—just as a gambler gets reckless after a winning streak. And lenders, encouraged by how easily they can sell on the debts, offer ever more risky loans.